

Δ	True materials respond		True materials fixed	
	Estimate	95% set	Estimate	95% set
−30%	264	[49, 480]	223	[0, 439]
−20%	59	[−166, 279]	23	[−180, 240]
−10%	−159	[−372, 51]	−183	[−395, 30]
−5%	−272	[−485, −64]	−285	[−486, −77]
0	−391	[−605, −174]	−391	[−605, −174]
+5%	−528	[−740, −309]	−512	[−709, −310]
+10%	−668	[−882, −468]	−640	[−840, −435]
+20%	−965	[−1,180, −733]	−899	[−1,126, −668]
+30%	−1,270	[−1,545, −1,013]	−1,163	[−1,386, −867]

Real pesos per firm-year, ELVIS interior firms (12,050 firm-years). Net sales-tax revenue = gross sales-tax revenue minus expected sales-tax refunds.

95% set: conservative test, $TS \leq \chi^2_{18,.95} = 28.87$. True materials respond: the materials first-order condition with the two tax rates, capital, labour and productivity fixed. True materials fixed: true materials stay at their current level. Break-even of the estimate, interpolating linearly: 17% cut with true materials responding, 19% cut with true materials fixed.